

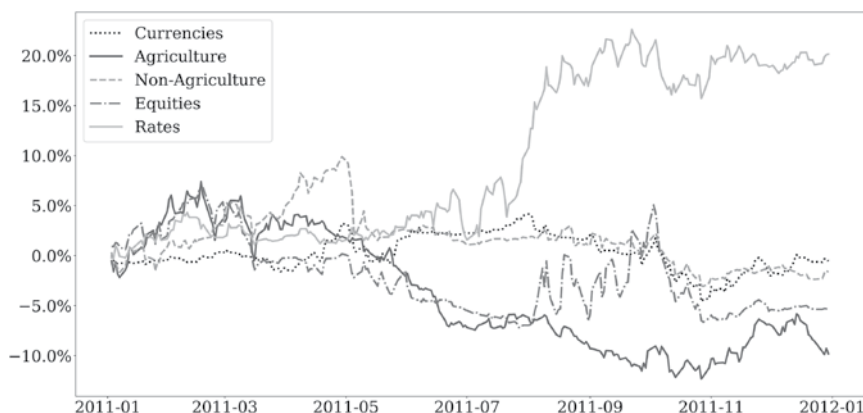


FIGURE 6.58 Sector performance 2011.

started seeing a wider dispersion in sector behaviour. The hard drop in May was primarily caused by exposure to long metals and energies (Figure 6.59), and the rather dramatic moves in the second half of the year were mostly an effect of short positions in equity indexes (Figure 6.60). The one saving grace this year was the long rates positions, which ended up yielding a substantial profit. This sector alone provided a positive contribution of over 20% to the portfolio, and without it we would have ended the year with a disaster of our own.

The heating oil chart in Figure 6.61 shows one of the dangers with our kind of trading models. We were in this bull trend for multiple months, all

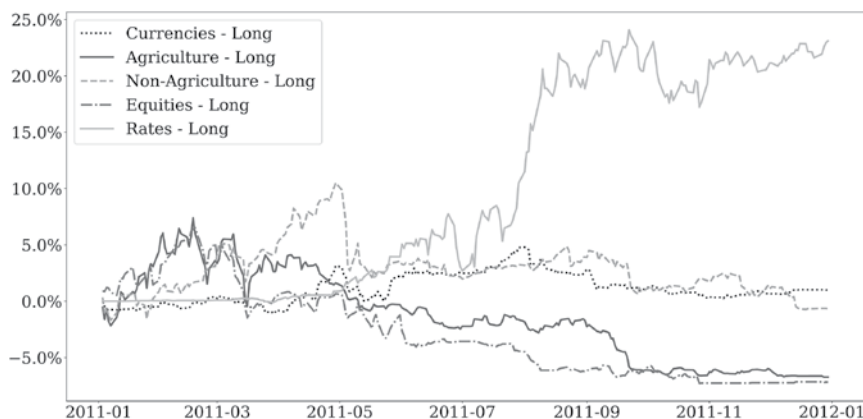


FIGURE 6.59 Long sector performance 2011.